

could grow up and become independent, freeing up funds as the goals for their education and marriage are met.

The Invest-it box can really get to work for your retirement with all this money that now gets diverted from the education and marriage fund to your retirement fund. You could inherit a bunch of money or assets from your parents. That infusion will again need to realign your money box.

What to do when products change

You should replace a product from your money box with a new one in the market only if it is a better product in itself, or the replacement is made necessary due to changes in your circumstances. ***A better product is either cheaper or gives better benefits or both.***

If you invest in managed funds, and not ETFs and index funds, you need to check if the funds you have chosen are still good. Sometimes fund houses lose steam, they get sold, fund managers leave, or have a series of bad years. Managed funds mean that you have to track the funds in your money box. If the funds no longer make the cut, it is better to redeem and switch to other funds. If you don't see yourself doing all this, stay with ETFs or index funds.

Should you redo your box when markets rise or fall?

Rising too hard, or falling too fast – most of us get influenced by the herd mentality and want to sell when the stock markets are crashing and want to buy more when they are rising. I recently got a mail from a family friend who wanted to invest some money for his father, sisters and himself. He works with a planner who had recommended balanced mutual funds, given the profile of the people and the sharp rise of markets beyond valuation at that point. It was a lump-sum investment and the planner, rightly, did not want his client to take home the risk of a sudden drop in prices immediately post investment.

My friend wrote to me to say that his family wanted to take more risk than what the planner was recommending, and ask what he should do. Rising markets have the effect of making people take more risk than they should. My